

Renewable Energy Tax — Trigger 9

Axion Digital Infrastructure (Pty) Ltd · Document 7, page 18 · year end 30 June · one-page summary of the research file

APC 202
Rates verified & current
All worked figures

27%

Corporate income tax
Unchanged, Feb 2026 Budget

21.6%

Effective CGT, company
80% inclusion × 27%

20%

Dividends tax
SPV route only

15%

VAT standard rate
Input tax on plant

80%

s20 loss set-off cap
Higher of R1m or 80%

5%

s13quin building
New & unused only

EXAM-DAY DECISION TREE — ANSWER THESE FIVE, IN ORDER, BEFORE WRITING

- Who owns the generation plant?**
Axion → claims s12B / s12U / s12L itself. **Joint operation** → s24H, claims its share only. **SPV or PPA** → Axion claims **nothing** but s11(a) on electricity bought.
- What capacity, in MW, and what technology?**
PV ≤1MW → 100% in year one. PV >1MW, wind, CSP, hydro ≤30MW, biomass → **50/30/20**.
Generation >5MW unlocks s12U. Hydro >30MW falls outside s12B entirely.
- When is it brought into use, relative to 30 June?**
No apportionment. One day either side of year end moves the **whole** first-year allowance — quantify it, it is a real recommendation. Grid-connection delay → no allowance at all yet.
- Is the asset new and unused?**
s12B does **not** require it — second-hand plant still qualifies. s12BA did, but s12BA has expired in any event.
- Is there taxable income to absorb the deduction?**
FY2026 PBT was **R325m**, so on its face yes — but a large first-year allowance can create an assessed loss, and then **s20** caps the carry-forward.

THE FOUR PROVISIONS THAT ACTUALLY MATTER HERE

s12B — renewable plant **50 / 30 / 20**

Owned, brought into use, used in own trade in the production of income. **100%** for PV exceeding 1MW. **Not apportioned** for part of a year. Second-hand qualifies.

s12BA — enhanced allowance **× EXPIRED**

125%, but only for assets brought into use **before 1 March 2025**. Not renewed. Do not ever claimed, watch **s8(4)(nA)** recoupment and the 1 March 2026 pivot.

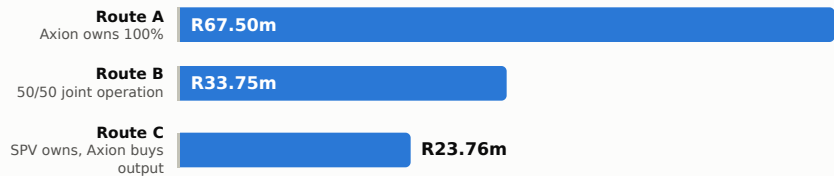
s12U — supporting structures **100%**

Roads, perimeter fencing and fence foundations, in the year incurred. Only where generation **exceeds 5MW**. It does **not** cover the transmission line.

s12L — energy efficiency **95c / kWh**

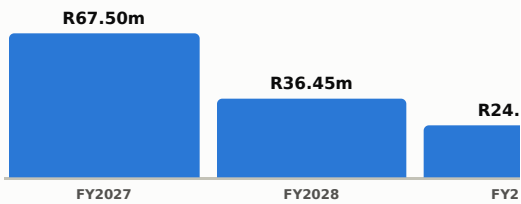
Extended to 31 December 2030 — it is available to Axion. Needs SANEDI-certified savings. A live cooling / PUE efficiency story at a data centre, not a theoretical one.

THE HEADLINE — SAME R250M OF FY2027 DEDUCTIONS, THREE STRUCTURES



Cash tax saved in FY2027, against R94.50m payable with no project. Route C claims **no capital allowance at all** — its saving is s11(a) on the assumed R88m PPA cost, it is level rather than front-loaded, and any loss is **trapped in the SPV**.

ROUTE A BENEFIT PROFILE — IT IS TIMING, NOT PERMANENCE



Tax benefit at 27%, totalling **R128.25m** over three years. Tell the board it is a **de** recoups the allowances on disposal, so what belongs in the post-tax NPV is the **pr** of the timing. Had it been commissioned before 1 March 2025, s12BA would have **R151.9m in year one alone**.

WORK EACH COST ELEMENT TO ITS OWN SECTION — NEVER LUMP THEM TOGETHER (Project X, assumed: 30MW solar PV, brought into use 1 May 2027)

R450m Plant and machinery s12B — 50% FY2027 deduction R225.0m	R25m Roads and perimeter fencing s12U — 100% FY2027 deduction R25.0m	R60m Grid connection / transmission line s12B, s13quin or s11(e) R30.0m / R3.0m / R0.5m — present the range	R15m Land No allowance Base cost only
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Total deduction, excluding the grid connection: R250.0m → R350m taxable income falls to R100m → tax R27.00m. The grid connection is the one element whose section genuinely depends on a fact you do not yet have the range *with the reasoning* — a range with reasons scores, a guess does not.

FIVE ERRORS THAT WILL COST YOU THE TASK

- × Claiming s12BA**
Expired 28 Feb 2025. Say so explicitly — the expiry is itself the commercial insight.
- × Transmission line into s12U**
s12U is roads and fences only. The line goes to s12B, s13quin or s11(e).
- × Assuming Axion gets the allowance**
If an SPV or the partner owns the plant, Axion gets nothing beyond s11(a).
- × Apportioning s12B**
s12B is never apportioned for part of a year. s11(e) is. Do not swap them.
- × Carbon tax saving in**
Carbon tax falls on Scope 1; PPA cuts Scope 2. Little or no saving.

PRO-FORMA ANSWER STRUCTURE FOR THE DAY — TEN STEPS, IN THIS ORDER

- Identify the transaction**
One sentence: which of the three routes is actually proposed, and what is being acquired.
- Who owns, who claims**
Ownership, brought into use, own trade, production of income — all four in the same taxpayer.
- Each cost to its section**
Plant → s12B. Roads and fences → s12U if >5MW. Connection → depends. Land → nothing.
- Apply the rate, compute**
Show the calculation. 50/30/20 or 100%. Give the rand deduction and the tax at 27%.
- Check the timing**
Date brought into use again. Quantify the effect of slipping end.
- Check utilisation**
Is there taxable income to absorb it? If not, s20 caps the carry-forward — compute it.
- Deal with disposal**
s8(4)(a) recoupment capped at allowances claimed; CGT at 21.6% on any excess over cost.
- The other taxes, briefly**
VAT input and output on the recharge. Carbon tax on Scope 1 only. Dividends tax on the SPV route.
- State what you need**
Specific requests, not generic ones. MW, cost split, structure, date, lender residence.
- Conclude**
Reach a recommendation. If numbers are close, say so as a judgement — but decide.

Past papers show the tax task is lost by reaching for the nearest plausible provision instead of working the facts. This order forces you to work the facts. **An unconcluded analysis is an incomplete task.**

⚠ WAITING FOR INPUT — ASK FOR THESE BY NAME ON THE DAY

- Generation **capacity in MW** and the technology — it decides 100% vs 50/30/20, and whether s12U is available at all.
- The **cost split** between plant, roads and fences, grid connection and land.
- **Ownership structure**: Axion, joint operation or SPV — and who brings the asset into use.
- **Date brought into use** against 30 June, and the **lender identity and residence** for s23M.

VERIFICATION STATUS OF THIS RESEARCH

- **Verified**: s12B, s12BA and its expiry, s12U, s12L to 2030, s20, s12C, s13quin, ar on the card above.
- **Read before citing**: s23M percentage, s24H, s12N, s11(o), the Carbon Tax Act 147 write-off periods, IAS 12 paragraph numbers.
- **The source the CFO pointed you at**: SARS Guide **IT39** — allowances and ded assets used in generating electricity. Print it, file it.

Every rand figure in the worked examples is assumed — the pre-release gives no capacity, cost, counterparty or structure for any renewable option. Axion Digital Infrastructure (Pty) Ltd is a fictitious entity created for asses